

Poverty & Equity Brief

Sub-Saharan Africa

Democratic Republic of Congo

April 2020

Despite sustained GDP growth and some poverty reduction in the 2005–12 period, poverty incidence remains high in the Democratic Republic of Congo (DRC). The country experienced an average annual per capita GDP growth rate of 2.6 which resulted in a decline of the proportion of population below the national poverty line from 69.3 percent in 2005 to 64 percent in 2012. However, due to high population growth, the number of poor people increased by 7 million. In addition, the aggregate decline in poverty masks marked regional disparities in poverty trends, with improvement in the northeastern provinces of Orientale and North Kivu and worsening in both Kasai and Maniema provinces.

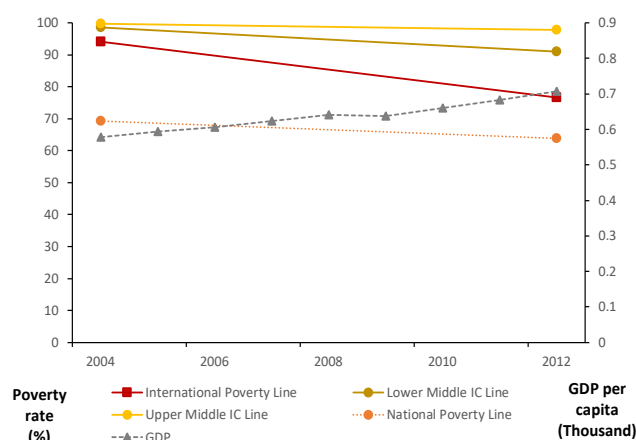
Extreme poverty is estimated to have declined more during the same period. In fact, the international poverty index measured at \$1.90 a day shows a much larger reduction than the official measure – from 94.1 percent in 2005 to 76.6 percent in 2012. However, DRC continues to have the second highest number of poor populations in Sub-Saharan Africa, and one in six persons living in extreme poverty in Sub-Saharan Africa lives in DRC. Moreover, the country is currently experiencing the largest epidemic of Ebola Virus Disease in its history, with 2045 deaths registered as of September 2019 in both Kivu and Ituri provinces, which will adversely impact social and economic development. The situation will get worse because of the current pandemic of COVID-19 which will further slow growth and increase poverty.

The bottom 40 percent of the population enjoyed a large consumption growth rate of 9.78 percent, while the richest 60 percent recorded a slightly higher growth rate. These result in a shared prosperity premium of -0.1 percent. Because of this very small difference, inequality measured by the Gini index remained basically unchanged.

POVERTY	Number of Poor (million)	Rate (%)	Period
National Poverty Line	44.1	63.9	2012
International Poverty Line 1112.8 in Congo franc (2012) or US\$1.90 (2011 PPP) per day per capita	52.9	76.6	2012
Lower Middle Income Class Poverty Line 1874.2 in Congo franc (2012) or US\$3.20 (2011 PPP) per day per capita	62.8	91.0	2012
Upper Middle Income Class Poverty Line 3221.2 in Congo franc (2012) or US\$5.50 (2011 PPP) per day per capita	67.5	97.7	2012
Multidimensional Poverty Measure		82.4	2012
SHARED PROSPERITY			
Annualized Consumption Growth per capita of the bottom 40 percent		9.78	2004-2012
INEQUALITY			
Gini Index		42.1	2012
Shared Prosperity Premium = Growth of the bottom 40 - Average Growth		-0.05	2004-2012
GROWTH			
Annualized GDP per capita growth		2.55	2004-2012
Annualized Consumption Growth per capita from Household Survey		9.83	2004-2012
MEDIAN INCOME			
Growth of the annual median income/consumption per capita		10.03	2004-2012

Sources: WDI for GDP, National Statistical Offices for national poverty rates, POVCALNET as of February 2020, and Global Monitoring Database for the rest.

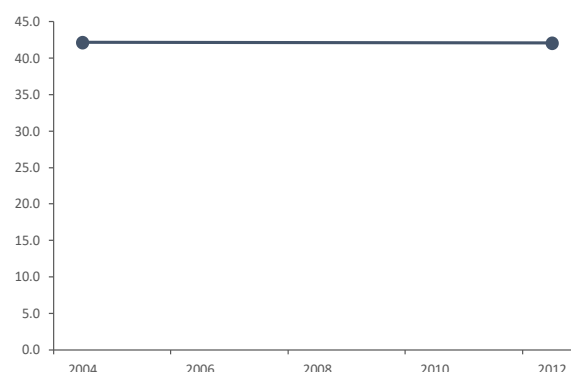
POVERTY HEADCOUNT RATE, 2004-2012



Source: World Bank using E123/SSAPOV/GMD

INEQUALITY TRENDS, 2004-2012

Gini Index



Source: World Bank using E123/SSAPOV/GMD

KEY INDICATORS

Distribution among groups: 2012	International Poverty Line(%)		Relative group (%)		Multidimensional Poverty Measures (% of people):	2012
	Non-Poor	Poor	Bottom 40	Top 60		
Urban population	44	56	18	82	Monetary poverty (Consumption)	
Rural population	11	89	54	46	Daily consumption less than US\$1.90 per person	76.6
Males	23	77	40	60	Education	
Females	24	76	40	60	At least one school-aged child is not enrolled in school	8.0
0 to 14 years old	18	82	46	54	No adult has completed primary education	22.5
15 to 64 years old	28	72	36	64	Access to basic infrastructure	
65 and older	35	65	25	75	No access to limited-standard drinking water	47.9
Without education (16+)	17	83	45	55	No access to limited-standard sanitation	80.0
Primary education (16+)	19	81	43	57	No access to electricity	83.0
Secondary education (16+)	33	67	29	71		
Tertiary/post-secondary education (16+)	76	24	6	94		

Source: World Bank using E123/SSAPOV/GMD

Source: World Bank using E123/SSAPOV/GMD

Notes: N/A missing value, N/A* value removed due to less than 30 observations

POVERTY DATA AND METHODOLOGY

While the 2005 and 2012 surveys are similar, comparability of consumption aggregates is unclear due to lack of documentation on the methodology adopted in generating previous consumption aggregates, especially for 2004/5 survey. Therefore, the consumption aggregates for 2004/5 survey were recomputed using the same methodology as in 2012. A new household survey for Kinshasa only has been completed in November 2018. While the Government plans to resume the population census by commissioning an evaluation of the activities already accomplished so far under this operation, it is expected to implement a new national household using appropriate technical assistance including the use of a survey expert to update master samples.

Tracking poverty over time also requires not only comparable consumption data, but consistent consumer price index (ideally for food and non-food items) to update poverty lines. However, there is no consistent CPI series in DRC between 2004/5 and 2012 both in terms of geographic coverage and in computation methodology. In the absence of a reliable consumer price index, unit prices from the consumption modules were used to compute price indices for both surveys.

Unlike national poverty rates, international poverty rates are computed using consumption aggregates that do not account for spatial price differences. Therefore, there is a considerable difference between national and international poverty rates both in levels and in trend.

HARMONIZATION

The numbers presented in this brief are based on the SSAPOV database. SSAPOV is a database of harmonized nationally representative household surveys managed by Sub-Saharan Team for Statistical Development. It contains more than 100 surveys covering 45 out of the 48 countries in the SSA region. The four countries not covered in the database are Eritrea, Equatorial Guinea, and Somalia. Terms of use of the data adhere to agreements with the original data producers.